Storchak gave the standard explanation: “The U.S. debt market is still the most liquid, dependable, and safe.”[156]

The Russians would like to diversify, but good alternatives have been lacking. In practice, the only viable alternative to a dollar-only global reserve currency system would be one with multiple-currency reserves adding increased use of the euro and the RMB over time, although the yen and Swiss franc also are considered hard currencies.[157] The attractiveness of the euro was drastically reduced as much of Western Europe experienced economic turmoil or teetered on the edge of it following the global financial crisis of 2008–2009. For many observers, the obvious choice is the RMB.[158] In 2011, a World Bank report forecast that the dollar’s dominance would end before 2025 and would likely be replaced by a monetary system based on the U.S. dollar, euro, and RMB.[159]

In support of the increased use of the RMB in global transactions, the BRICS have engaged in four tactics. First, they have talked up the RMB and moved away from the dollar, including taking the step of transferring some official reserves out of U.S. Treasury securities and into an alternative asset, with mixed success. Most countries report their total official reserves and the currency breakdown of some share of that total, known as their “allocated reserves.” Since the introduction of the euro in 1999, the share of the U.S. dollar in total allocated reserves worldwide slowly declined, from around 70 percent (1998–1999) to 62 percent (2008) reflecting challenges by the new united currency, the euro.

The share of the U.S. dollar hovered at around 62 percent, until 2015, rising slightly to 64 percent in the latter two quarters of 2015.[160] However, it is possible that some countries are disinvesting from some currencies (the U.S. dollar) very quietly so that their sales do not influence the price of that currency, and thus the value of their remaining financial assets in that currency. For example, there have been persistent, although unverified, reports that the PBOC has acted thus. Russia also reportedly shifted a significant percentage of its holdings of U.S. securities into a custodial account when the threat of sanctions emerged in 2014. In November 2014, moreover, Chinese Premier Li Keqiang announced a ten-point plan for financial reform, including a pledge to make “better use” of China’s then–$3.6 trillion in foreign exchange reserves. In practice, this has meant allowing China’s SWFs to access a greater share of the country’s reserves in order to redeploy these funds in higher-yielding corporate securities and FDI.